CHAPTER 6: BUSINESS ENTITIES

LEARNING OUTCOMES

1. Identify common business entities in Malaysia
2. Describe the advantages and disadvantages of each business entity
3. Elaborate the procedure to register, renew, change business particulars and termination a business

INTRODUCTION

- An ongoing business that is based on profit-making must be officially registered.
- The Companies Commission of Malaysia or commonly known as Suruhanjaya Syarikat Malaysia (SSM) manages and governs the establishment and registration of a business.
- SSM is a statutory body under the Ministry of Domestic Trade and Consumer Affairs that is given the power to regulate the establishment to abolishment of a business.

How To Register A Business?

1. Business Registration Act 1956 (Amendment 1978)
2. Companies Act 2016
3. Co-Operative Act 1948
4. Parliamentary Act or State (Government) Enactment

Business Registration Act 1956 (Amendment 1978)

- Sole Proprietorship and Partnership

Companies Act 2016

- Limited Company by Guarantee
- Limited Company by Share
  - ► Private Limited Company
  - ► Public Limited Company
  - ► Foreign Owned Company
- Unlimited Company

TYPE OF BUSINESS ENTITIES

1. Sole Proprietorship
2. General partnership
3. Limited liability
4. Private Limited Company

SOLE PROPRIETORSHIP

- In Section 4 Business Registration Act 1956, sole proprietorship is defined as “a business other that the business registered under the Companies Act 2016, business managed by the government or any incorporated public bodies, organizations registered or exempted under any written law that enforce in regards and with organizational registration or a co-operative company, business that stands as an on- going of any profession.”
- Established, owned, financially funded and managed by only one individual.

SOLE PROPRIETORSHIP

Advantages	Disadvantages
▫ Established or terminated easily with few formalities ▫ Start-up cost small ▫ Full management & own decision ▫ Declare personal tax return. ▫ Creative direction ▫ More flexibility ▫ Reap profits alone	▫ Difficulty in raising capital ▫ Life span of business depends on the business owner ▫ Personal liability ▫ Limited capabilities ▫ Borne loss alone

PARTNERSHIP

- In Section 3 Partnership Act 1961, Partnership is the relation that subsists between persons carrying a business in common with a view of profit with the number of partners which is from 2 to 20 individuals.
- Partnership business is often managed together with partners and financing sources or capital are funded by the same partners and total contribution of funding is agreed upon by all partners.
- Rights, responsibilities and even liability are shared with all partners.

PARTNERSHIP

Advantages	Disadvantages
▫ Start-up cost is small ▫ Personal tax return ▫ Distribution of profits shared between partners ▫ Easily established or terminated ▫ Raising capital easier ▫ Management is more efficient – more skills ▫ Effective decision making – discussion	▫ Liability unlimited ▫ Crises/ risks between partners higher ▫ Life span of business depends on the business partner ▫ Shared distribution of loss

LIMITED LIABILITY PARTNERSHIP

- Introduced by SSM in 2012 - governed by Limited Liability Partnership Act 2012 (LLP Act 2012), Act 743.
- Combines the characteristics of a company and a partnership business - more protection to the shareholders/ partners - limited liability and flexibility in the partnership agreement.
- Enhance and expand business opportunities for entrepreneurs and professionals and enable a country to be more competitive in the era of globalization and liberalization.
- Introduced due to some inherent disadvantages of sole proprietorship and partnership.

COMPANY

- Under the Companies Act 2016, a company is '*a body that has a legal entity separated from establishing members or the founder'.*

PRIVATE LIMITED COMPANY (SDN BHD)

- One of the business entities set up under the Companies Act 1965.
- A legal entity and its identity is separate from the identity of the company's members.
- Member between two to fifty members
- Uses 'Sendirian Berhad' or 'Sdn. Bhd.' at the end of company's name
- Liability is limited.
- Transfer of shares to other parties thru private invitation.

Private Limited Company Requirements

a. Memorandum of Association
b. Articles of Association
c. Share Capital:
   - ✓ Authorised capital
   - ✓ Paid-up capital
d. Members of Shareholders
e. Board of Directors
f. Company Secretary
g. Auditors
h. Registered Office
i. Company Seal
j. Authorisation Letter

PRIVATE LIMITED COMPANY

Advantages	Disadvantages
• Credit can be easily obtained. • Members' liability is limited based on the debt made by the company only. • The management is more systematic and assisted by a group of workers paid according to skills and capabilities to manage the company. • Livelihood of a company is infinite until it is dissolved. Any deaths, retirements, members' withdrawal does not give any effects on the existence of the company and the company will be operational as usual. • A company's capital and property belong to the company only and not to the members/ shareholders.	• Cost of a company establishment is high which covers registration fees, legal fees and company operation fees. • Annual company tax is compulsory to be paid to the government in comparison to no tax imposed to sole proprietorship and partnership. • Company's information such as company owners' information, company's operations and finances are not discreet for it is made available to all members and shareholders. • Creditors also have the rights to know the financial states of the company. • Company information is publicly obtainable.

PUBLIC LIMITED COMPANY (BHD)

- Uses ‘Berhad’ or ‘Bhd.’ at the end of the company’s name.
- Members without any maximum limits.
- Raise capital through public invitation for monetary depository.
- Can be listed at Malaysia Stock Market (Bursa Saham Malaysia).
- Director’s age must not be over 70 years old (unless approved by verification of his/her credibility)

SURUHANJAYA SYARIKAT MALAYSIA
COMPANIES COMMISSION OF MALAYSIA
(Agensi di bawah KPDNKK)

Differences	Sole proprietorship	Partnership	Limited partnership (LLP)	Private limited company (Sdn.Bhd)
Bussiness Owner	Owner	2 to 20 people	At least 2 people	1 to 50 people
Fund Allocation	Owner	Partner Contribution	Partner Contribution	Shares
Property Owner	Owner	Partner	Partners' capital and profits	Member/ Shareholder
Legal Status	The owner and the company belong to the same entity and have legal status	The owner and the company belong to the same entity and have legal status	Be an independent entity and have legal status	Be an independent entity and have legal status

SUMMARY

- There are many options in registering a business; sole proprietorship, partnership, limited liability partnership, company and also co-operative.
- Each type has its benefits and limitations.
- All business registrations need to be registered at Companies Commission of Malaysia (SSM) counters or online except for Co-operative where registration has to be made at the Malaysian Co-operative Societies Commission (SKM).



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